25901215 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSEECO201 - FINANCIAL RISK ANALYSIS

(2024 ADMISSION ONWARDS)

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Macroeconomic risk analysis is defined as a systematic process for evaluating factors that can impact which of the following? [U] / [CO1]

   a). The performance of businesses and returns of investors

   b). Only the internal human resource policies of a single firm

   c). The specific pricing of one luxury product

   d). The daily commute times of employees

2. Sovereign debt crisis in Greece was related to: [K] / [CO4]

   a). High fiscal deficit and debt

   b). High export surplus

   c). Strong banking liquidity

   d). Low unemployment

3. Scenario analysis is a [U] / [CO2]

   a). Qualitative tool

   b). Quantitative tool

   c). Hybrid tool

   d). None of the above

4. High accounts receivable may signal: [U] / [CO1, CO4]

a).Strong cash flow b).Revenue recognition risk and collection risk

c).Low credit risk d).Strong liquidity

5. When liquidity risk arise? [U] / [CO1, CO4]

a). When there is a sudden cash crunch or over dependance on short term funds.

b). With an adverse political environment.

c). When there is excess peoduction in the market.

d). When there is excess fund available in the market.

6. The amount paid periodically by the insured to the insurer is called: [U] / [CO4]

a).Claim b).Premium

c).Deductible d).Indemnity

7. Which of the following is an example of technological risk due to external threats? [U] / [CO4]

a).Poor marketing strategy

b).Sudden resignation of top management

c).Cyberattack leading to data breach

d).Decline in customer demand

8. Credit-Deposit Ratio is calculated as: [K] / [CO4]

a). Deposits / Loans

b). Loans / Deposits

c). Capital / Deposits

d). Assets / Loans

9. Basel III is associated with [U] / [CO1, CO4]

a). Risk weights

b). Market risk

c). Financial risk

d). Operational risk

10. Human error in transaction processing is an example of: [U] / [CO4]

a). Market risk

b). Operational risk

c). Project risk

d). Financial risk

11. In an organizational context, risk is usually defined as anything that can impact the: [U] / [CO1]

a). Daily commute of employees b). Fulfilment of corporate objectives

c). Historical data of the company d). Pricing of competitors' products

12. Mark-to-market losses occur due to: [K] / [CO4]

a). Change in market prices b). Operational failure

c). Fraud d). High deposits

13. Provisioning is required for: [U] / [CO1, CO4]

a). Profits b). Capital

c). Non-performing assets d). Deposits

14. Which technology is most associated with automation risk? [K] / [CO1]

a). Blockchain b). Artificial Intelligence

c). ERP d). CRM

15. KRIs are most closely associated with which aspect of risk management? [K] / [CO4]

a).Risk identification and monitoring b).Dividend calculation and distribution

c).Marketing strategy d).Product development

[1x15 = 15]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **2** marks

16. Why is maintaining an optimal capital structure important in risk management in corporates? [U] / [CO4]

17. Define Time Value of Money. [U] / [CO2]

18. How does corporate governance contribute to risk management? [U] / [CO4]

19. Give two examples of current assets. [U] / [CO1, CO4]

20. What is supply chain risk in a corporate context? [K] / [CO4]

21. Define legal risk. [U] / [CO1, CO4]

22. What is SPARC ? [U] / [CO1, CO4]

23. What are the major risks of digital transformation? [U] / [CO1]

24. What are the main liabilities of a financial institution? [U] / [CO1, CO4]

25. What is High-Quality Liquid Asset (HQLA)? [K] / [CO1, CO4]

26. What is Pre-Settlement Risk? [U] / [CO1]

27. Define Derivative market. [U] / [CO1]

28. What do you mean by Balancing Risk and Return? [U] / [CO1]

[2x10 = 20]

Part C

Short Essay Questions

Answer any **3** questions

Each question carries **5** marks

29. Differentiate KPIs and KRIs. exolain the benefit and drawbaks of both the risk indicators [U] / [CO4]

30. Examine the causes of corporate risk in modern organizations. How do internal factors and external factors contribute to corporate risk? [U] / [CO4]

31. Explain SPARC. [K] / [CO1]

32. Explain in detail the meaning of Commodity Price Risk. [U] / [CO1]

33. What are the benefits of Credit Risk Assessment? [U] / [CO1]

[5x3 = 15]